

Question 02

a)

$$P_1 = 1200 \quad P_2 = 1000$$

$$Q_1 = 50000 \quad Q_2 = 60000$$

midpoint formula, $PED = \frac{\% \Delta Q}{\% \Delta P}$

$$\% \Delta Q = \frac{60000 - 50000}{(60000 + 50000)/2} \times 100$$

$$= \frac{10000}{55000} \times 100 = 18.18\% //$$

$$\% \Delta P = \frac{1000 - 1200}{(1000 + 1200)/2} \times 100$$

$$= \frac{-200}{1100} \times 100 = -18.18\% //$$

$$PED = \frac{\% \Delta Q}{\% \Delta P} = \frac{18.18\%}{-18.18\%} = -1 //$$

Demand is unitary elastic

% Change in quantity = % Change in price

Total revenue remains constant

Consumers are moderately responsive to price changes.

b) StreamFlix demand ↑ from 50000 → 60000
→ +20%.

Netflix subscribers ↓ by 5%

$$XED = \frac{\% \Delta Q_x}{\% \Delta P_y}$$

$$\% \Delta Q (\text{StreamFlix}) = +20\%$$

$$\% \Delta (\text{Netflix demand proxy}) = -5\%$$

$$XED = \frac{20}{-5} = -4 //$$

These services are substitutes
Consumers switch from Netflix to StreamFlix.

c) income ↑ = 12%.
demand ↑ = 20%.

$$YED = \frac{\% \Delta Q}{\% \Delta \text{income}}$$

$$YED = \frac{20}{12} = 1.67 //$$

$YED > 1 \rightarrow$ Luxury good

Premium plan is,

Highly responsive to income changes.

Demand increases more than income.

d)

1) Price strategy

$$PED = -1$$

Since demand is unitary elastic

Changing price will not increase total revenue

StreamFlix should not rely on price changes to increase ~~total~~ revenue.

Keep price stable around current level.

Promotion / discounts

2) income based strategy

Premium plan $\Rightarrow$ Luxury good ($YED > 1$)

- * target high income users
- * offer premium features
- * improve quality (HD)

3) marketing strategy

- Highlight value for money.
- * Use switching incentives (free trials)
- * Bundle plans (standard + premium upgrades)